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NSC 37/3

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A REPORT

TO THE

NATIONAL SECURITY COUNCIL

by

THE SECRETARY OF DEFENSE

on

THE STRATEGIC IMPORTANCE OF FORMOSA

February 11, 1949

WASHINGTON

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Auth: EO 11652
Date: 25 NOV 1975
By: Jeanne M. Davis
NATIONAL SECURITY COUNCIL

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NOTE BY THE EXECUTIVE SECRETARY

to the

NATIONAL SECURITY COUNCIL

on

THE STRATEGIC IMPORTANCE OF FORMOSA

References: A. NSC 37 Series
B. NSC Action No. 179

Pursuant to NSC Action No. 179-b, the Secretary of Defense has forwarded the enclosed memorandum from the Joint Chiefs of Staff, containing their views on the subject, supplementary to those contained in NSC 37.

The enclosure is accordingly circulated herewith for the information of the National Security Council and for use by the NSC Staff in preparing a supplementary report on Formosa pursuant to NSC Action No. 179-d.

SIDNEY W. SOUERS
Executive Secretary

Distribution:
The President
The Secretary of State
The Secretary of Defense
The Secretary of the Army
The Secretary of the Navy
The Secretary of the Air Force
The Chairman, National Security Resources Board

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THE JOINT CHIEFS OF STAFF
WASHINGTON 25, D. C.

10 February 1949

MEMORANDUM FOR THE SECRETARY OF DEFENSE:

Subject: The Strategic Importance of Formosa

In accordance with your memorandum dated 7 February 1949, the Joint Chiefs of Staff have considered the action (No. 179b) adopted by the National Security Council on 3 February 1949 in which the Joint Chiefs of Staff are requested to furnish the Council an estimate of the extent of the threat to United States security in the event that diplomatic and economic steps to deny Communist domination of Formosa prove insufficient, and recommendations as to what, if any, military measures should be taken in that event.

The Joint Chiefs of Staff are of the opinion that, under the assumptions set forth above, the extent of the threat to the security of the United States would be serious. Their appraisal of the strategic implications of Communist domination of Formosa, contained in their memorandum to you dated 24 November 1948, is directly applicable. Points made therein may be summarized as follows:

a. Loss, present and prospective, of availability of strategically valuable areas of China would enhance the strategic value to the United States of Formosa in view of the potentialities of that island as a wartime base capable of use for strategic air operations and control of adjacent shipping routes;

b. Unfriendly control of Formosa and its adjacent islands would be of even greater strategic significance since this would result, in the event of war, in an enemy capability of dominating the sea routes between Japan and the Malay area and an improved enemy capability of extending his control to the Ryukyus and the Philippines, and

c. Unfriendly control of Formosa would further be detrimental to our national security interests in that Formosa would be lost as a potential major source of food and other materials for Japan, which might well be a decisive factor as to whether Japan would prove to be more of a liability than an asset under war conditions.

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In general terms, it having become more apparent than ever that the United States faces the prospect of strategic impotence on the continent of Asia, our military capabilities in the Western Pacific must rest primarily on control of sea lanes and maintenance of strategic air potential from strategically tenable island positions. Enemy control of Formosa would seriously jeopardize our capabilities in these respects while constituting, on the other hand, a major contribution to enemy capabilities.

In their appraisal of 24 November 1948, the Joint Chiefs of Staff reached the conclusion that it would be most valuable to our national security if Communist domination of Formosa could be denied by the application of appropriate diplomatic and economic steps. In this conclusion, resort to military measures was tacitly excluded.

The Joint Chiefs of Staff are still of the opinion that any overt military commitment in Formosa would be unwise at this time. In spite of Formosa's strategic importance, the current disparity between our military strength and our many global obligations makes it inadvisable to undertake the employment of armed force in Formosa, for this might, particularly in view of the basic assumption that diplomatic and economic steps have failed, lead to the necessity for relatively major effort there, thus making it impossible then to meet more important emergencies elsewhere. (In this connection the distinction between the Formosan problem and the Iceland situation, where direct action is contemplated, if necessary to prevent Communist control, lies in the fact that Iceland is directly vital to our national security while the importance of Formosa cannot be said to be in that category.)

The Joint Chiefs of Staff believe, however, that Formosa's strategic importance is, nevertheless, great. Consequently, they are of the opinion that some form of military support should be made available now for assistance in vigorous prosecution of the approved diplomatic and economic steps set forth in NSC 37/2 for developing and supporting in Formosa a non-Communist Chinese regime. This support should not involve commitment to the employment of force. It should consist of the stationing of minor numbers of fleet units at a suitable Formosan port or ports, with such shore activity associated therewith as may be necessary for maintenance and air communication and for the recreation of personnel.

The Joint Chiefs of Staff, in their memorandum to you dated 20 December 1948, agreed that American naval forces should not at that time be established ashore at Formosa. They stated, however, that their agreement was without prejudice to future determination, if developments so justified, that this decision should be modified. The present proposal would involve only minor modification as necessary for the continued basing afloat of mobile fleet units.

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The Joint Chiefs of Staff are aware of the possibility that unfavorable diplomatic repercussion might result from undue resort to what might be termed a show of force. They realize also that it may be difficult to negotiate successfully the necessary arrangements for basing fleet units in Formosan waters. On balance, however, and in view of the threat to United States security implicit in Communist domination of Formosa, they believe that every reasonable effort should be made to keep Formosa in friendly hands, and that diplomatic risks and difficulties are thus justified.

Accordingly, they recommend favorable consideration of the proposal outlined above that, beginning as soon as appropriate arrangements can be made, minor numbers of fleet units be maintained at a suitable Formosan port or ports, with shore activities associated therewith limited to those necessary for maintenance, air communication and recreation, and that the mission of these unites be that of exerting, in support of approved diplomatic and economic objectives, all possible stabilizing influence without the employment of force..

For the Joint Chiefs of Staff:

(SIGNED)

LOUIS DENFELD,
Admiral, U.S. Navy.